

FRED Economic Monitor

Federal Reserve Bank of St. Louis Data

Report generated: May 15, 2026

Data updated: May 15, 2026 16:37

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EXECUTIVE SUMMARY

A synthesis of current economic conditions across six dimensions. Individual readings matter less than combinations and trends. Color indicates risk status: green = normal, yellow = elevated, red = stressed. Use the bookmarks panel in your PDF viewer to navigate between sections.

OVERALL ASSESSMENT: HIGH STRESS

Core inflation (3.0% YoY) remains above target, limiting policy flexibility. The Fed cannot ease without risking re-acceleration.

Labor market solid: unemployment at 4.3%, payrolls adding +115K/month. No demand-destruction signal in employment data.

Yield curve positively sloped (0.5%) with low recession probability (1.8%%). Historical leading indicators not signaling near-term contraction.

Credit markets functional: HY spreads 2.8%, IG spreads 0.8%. Refinancing conditions normal — no systemic funding stress.

CRE lending standards easing or stable (-3.3% net tightening). Banks not restricting commercial real estate credit — no forward stress signal.

Equity valuations at historically stressed levels (CAPE 41.7). Among the highest readings of the past century — historically followed by decade-long below-average real returns. CAPE does not predict timing.

Policy flexibility severely constrained: debt service 33.0% of receipts; inflation expectations 2.5%. Fiscal and monetary stabilization tools are simultaneously impaired.

Historical Comparison — Current vs. 1 Year Ago vs. Pre-COVID

Key indicators compared across three time points. Current cell shading reflects the current risk status (green / yellow / red). Core CPI shown as year-over-year percent change; all others as reported level values.

Indicator	Current	1 Year Ago	Pre-COVID (Dec 2019)
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Core CPI	2.7%	2.8%	2.3%
Unemployment Rate	4.3%	4.3%	3.6%
10Y Treasury Yield	4.5%	4.5%	1.8%
HY Credit Spread	2.8%	3.2%	—
Fed Funds Rate	3.6%	4.3%	1.6%
S&P; 500 CAPE	41.7	35.1	30.3
Federal Debt / GDP	122.6%	118.8%	105.8%
VIX	17.3	17.8	12.6
CRE Lending Stds (net %)	-3.3%	10.9%	10.7%
10Y Inflation Expectation	2.5%	2.3%	1.6%

This summary is generated from threshold-based rules applied to current data. It is descriptive, not predictive. Readings that appear benign in isolation may be significant in combination — see [Crisis Watch](#) and [System Resilience](#) sections for multi-indicator composite analysis.

SUMMARY — ALL INDICATORS

Each card shows the current reading, risk status, and full indicator name. Click the indicator name to jump to the detailed section. Normal (green) · Elevated (yellow) · Stressed (red). Context and combinations matter more than any single reading.

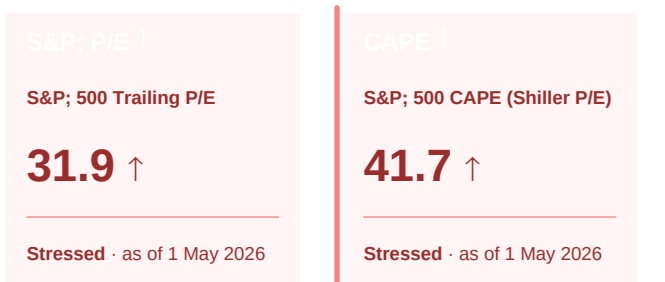
INFLATION & PRICES



LABOR MARKET



MARKET VALUATION



MARKETS

VIX ↑

CBOE Volatility Index

17.3 ↓

Normal · as of 14 May 2026

DOLLAR INDEX ↑

Broad U.S. Dollar Index

-3.1% → YoY

Normal · as of 8 May 2026

INTEREST RATES

10Y YIELD ↑

10-Year Treasury Yield
(Daily)

4.5% ↑

Normal · as of 14 May 2026

10Y YIELD (MO.) ↑

10-Year Treasury Yield
(Monthly)

4.3% →

Normal · as of 1 Apr 2026

YIELD CURVE ↑

Yield Curve Spread (10Y –
2Y)

0.5% ↓

Normal · as of 15 May 2026

FINANCIAL STRESS

REC. PROBABILITY ↑

Recession Probability (NY
Fed, 12-Month)

1.8% ↑

Normal · as of 1 Mar 2026

FISCAL HEALTH

DEBT/GDP ↑

Federal Debt (% of GDP)

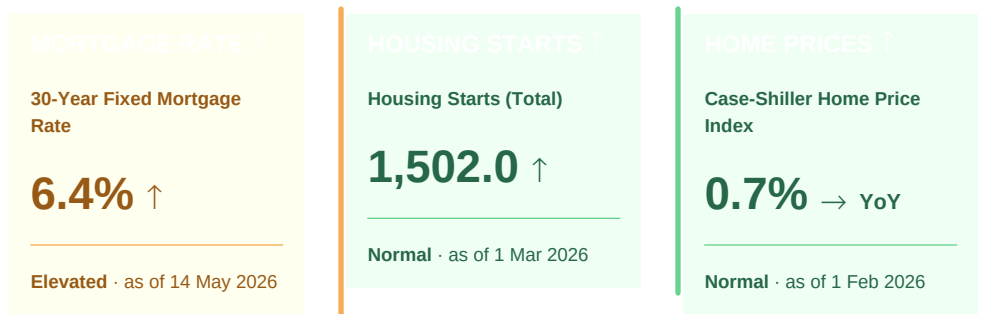
122.6% →

Stressed · as of 1 Oct 2025

MONEY SUPPLY



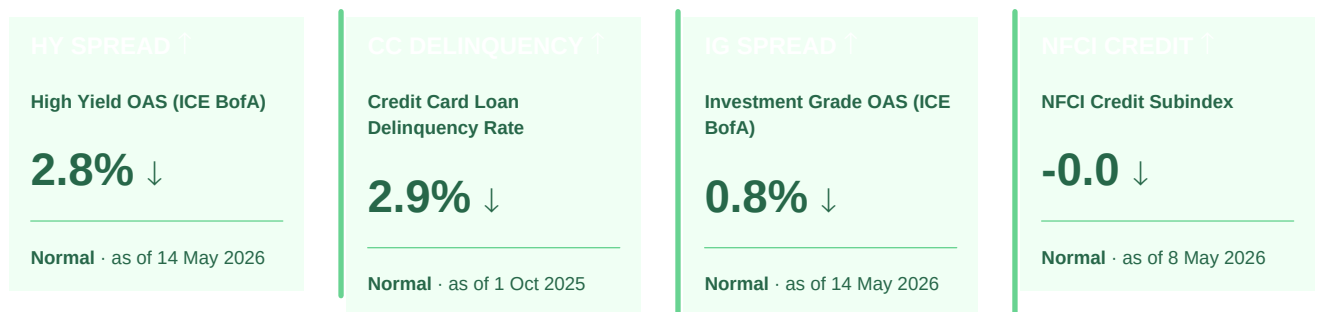
HOUSING MARKET



LIQUIDITY & FUNDING STRESS



CREDIT MARKET FUNCTIONALITY



LENDING STDS ↑

Bank Lending Standards
(C&I; Loans)

8.1% ↓

Normal · as of 1 Apr 2026

POLICY CONSTRAINTS

5Y BEI ↑

5-Year Breakeven Inflation
Rate

2.7% ↑

Elevated · as of 15 May 2026

10Y BEI ↑

10-Year Breakeven Inflation
Rate

2.5% ↑

Normal · as of 15 May 2026

CRISIS WATCH

This section synthesizes multiple indicators into six structural dimensions. Color coding is descriptive, not predictive — elevated readings indicate conditions that have historically preceded stress, not guaranteed outcomes.

2 dimension(s) stressed, 1 elevated, 4 within normal range.

TREASURY STRESS

Normal

10Y Yield	4.5% 14 May 2026
Yield Curve	0.5% 15 May 2026
CRE Lending Stds	-3.3% 1 Apr 2026

RECESSION RISK

Normal

NY Fed Rec. Prob.	1.8% 1 Mar 2026
Yield Curve	0.5% 15 May 2026

INFLATION PERSISTENCE

Elevated

Core CPI YoY	3.0% 1 Apr 2026
Headline CPI YoY	3.9% 1 Apr 2026

LABOR WEAKNESS

Normal

Unemployment Rate	4.3% 1 Apr 2026
Payrolls MoM	+115K 1 Apr 2026
Leading Econ Index	56.4% 1 Feb 2020

FINANCIAL STRESS

Normal

VIX	17.3 14 May 2026
CRE Lending Stds	-3.3% 1 Apr 2026

DEBT SUSTAINABILITY

Stressed

Federal Debt / GDP	122.6% 1 Oct 2025
10Y Yield	4.5% 14 May 2026

MARKET VALUATION

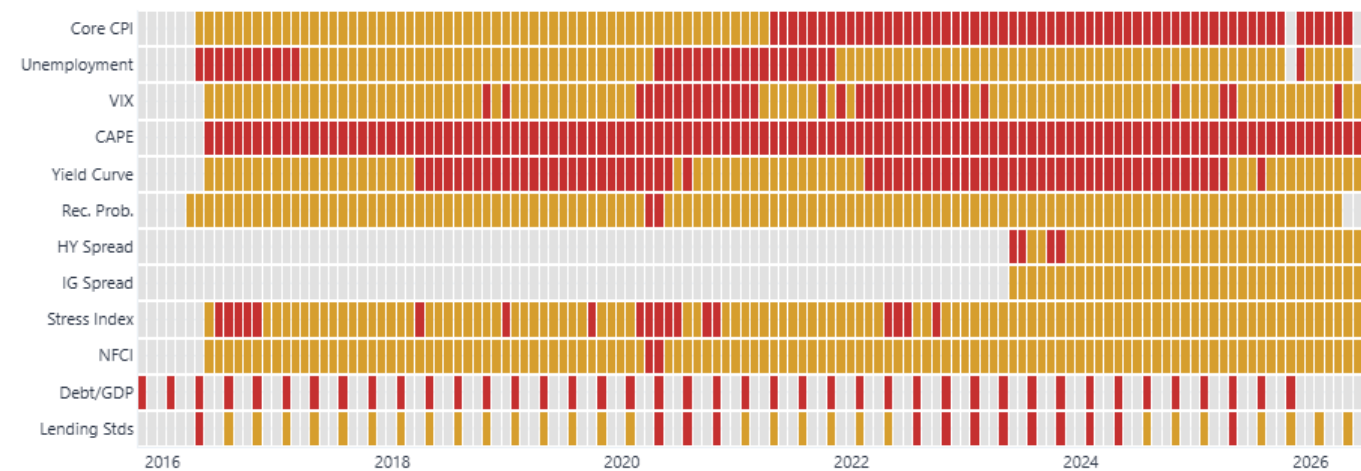
Stressed

CAPE (Shiller P/E)	41.7 1 May 2026
Trailing P/E	31.9 1 May 2026

Historical Indicator Risk Status

The heatmap below shows the risk classification of twelve key indicators over the past ten years (monthly). Green = normal; yellow = elevated; red = stressed. Clusters of color indicate correlated deterioration across multiple indicators.

Indicator Risk Status — 10-Year History (Monthly)

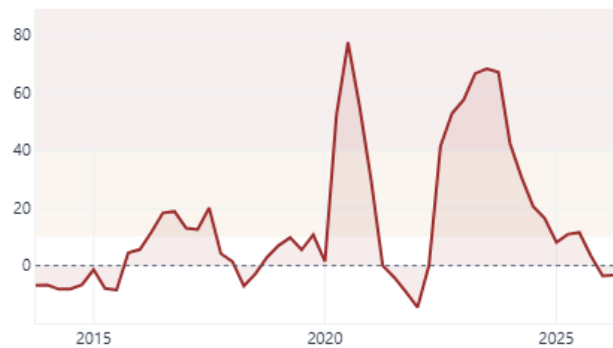


Indicator Detail

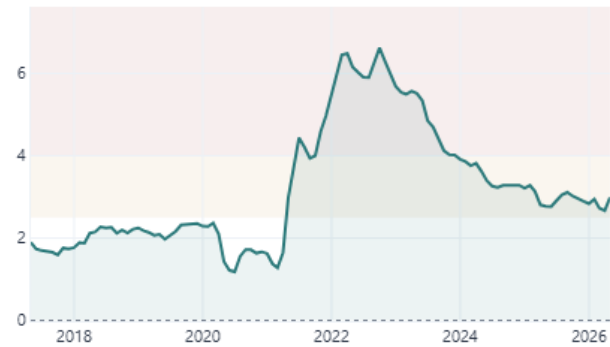
10-Year Treasury Yield %



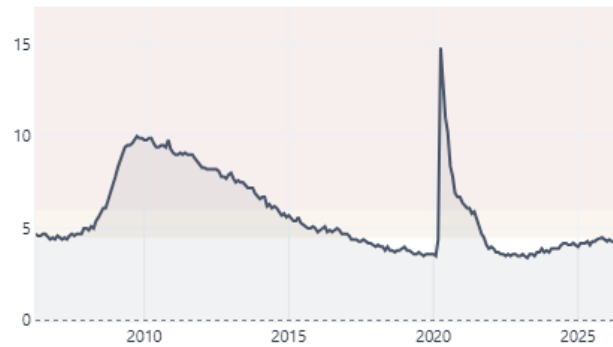
CRE Lending Standards — Net % Tightening



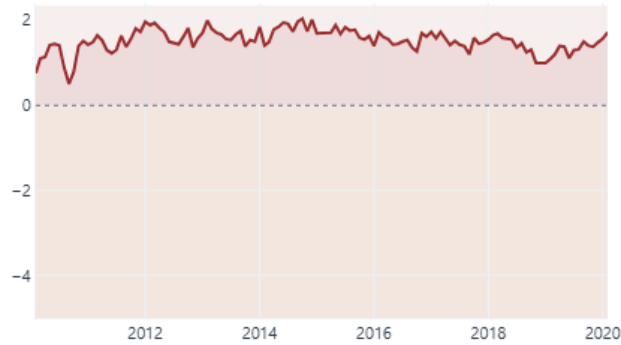
Core CPI YoY %



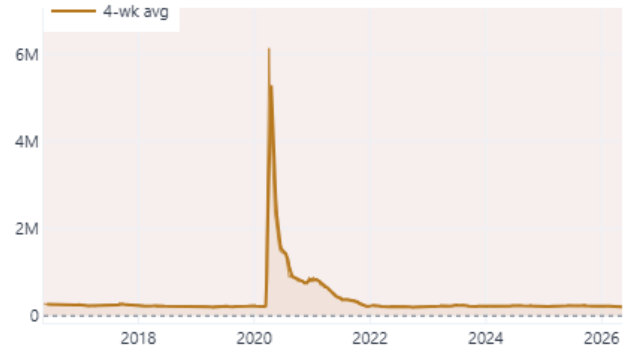
Unemployment Rate %



Conference Board Leading Economic Index (MoM %)



Initial Jobless Claims — 4-Week MA



Structural Deterioration vs. Acute Crisis

Structural deterioration develops over years: rising debt loads, persistent above-target inflation, labor market erosion, or deteriorating credit quality in key sectors. These imbalances accumulate quietly, often masked by growth momentum or asset price appreciation, until they constrain policy options.

The 2008 Global Financial Crisis illustrates the distinction: CRE and residential delinquencies climbed for 18+ months before Lehman's collapse compressed the acute phase into a single weekend. The structural fragility had been building; the trigger was catalytic, not causal.

Historically Dangerous Indicator Combinations

Debt-Rate Spiral

High government debt/GDP + rapidly rising interest rates → expanding debt service costs → crowding out productive investment. The critical metric is debt service as a share of revenue, not the absolute debt level.

Credit Stress Cascade

Rising loan delinquencies + elevated market volatility + tightening lending standards → credit contraction → demand compression → self-reinforcing slowdown.

Stagflation Trap

Persistent above-target inflation + softening labor market → contradictory signals for central banks → elevated policy error risk. The 1970s remain the benchmark episode: dual mandates in conflict with no clean resolution available.

Confidence Breakdown

When multiple dimensions show stress simultaneously, policy space narrows. Fiscal tools are constrained by debt levels. Monetary tools are constrained by inflation. Each instrument has fewer degrees of freedom.

SYSTEM RESILIENCE & POLICY DEPENDENCY

The modern financial system is increasingly dependent on liquidity provision, refinancing capacity, and policy intervention. Structural fragility often emerges not from isolated economic weakness, but from deterioration in the system's ability to absorb shocks without extraordinary stabilization measures.

System Resilience Dimensions

LIQUIDITY & FUNDING	CREDIT FUNCTIONALITY	POLICY FLEXIBILITY
Stressed	Normal	Stressed
Financial Stress Index -0.8 8 May 2026	High Yield Spread 2.8% 14 May 2026	5-Yr Inflation Expectations 2.7% 15 May 2026
Nat'l Financial Conditions -0.5 8 May 2026	Investment Grade Spread 0.8% 14 May 2026	10-Yr Inflation Expectations 2.5% 15 May 2026
CP-Treasury Spread 0.03% 13 May 2026	C&I; Loan Standards 8.1% 1 Apr 2026	Interest / Govt Receipts 33.0% 1 Oct 2025
Fed Reverse Repo (\$B) \$1B 15 May 2026	CRE Loan Standards -3.3% 1 Apr 2026	Real Fed Funds Rate 0.7% 1 Apr 2026
	Financial Conditions: Credit -0.0 8 May 2026	

System Absorption Capacity Summary

CATEGORY	STATUS	KEY METRIC	CURRENT READING
Liquidity	Normal	Financial Stress / Nat'l Financial Conditions	-0.8 / -0.5
Funding Stability	Stressed	CP-Treasury Spread / Reverse Repo	0.03% / \$1B
Policy Flexibility	Stressed	Interest / Govt Receipts	33.0%
Credit Functionality	Normal	High Yield Spread / CRE Loan Standards	2.8% / -3.3%
Inflation Anchoring	Elevated	5Y / 10Y Breakeven Inflation	2.7% / 2.5%

Refinancing & Liquidity Risk Assessment

REFINANCING & LIQUIDITY RISK — ELEVATED · 2 stress condition(s) triggered. Persistent combinations — not single spikes — are the primary concern.

- Fed reverse repo near depletion and declining — systemic liquidity cushion thinning
- Federal debt service at 33.0% of receipts — fiscal stabilization capacity materially constrained

Note: This assessment emphasizes persistence and combinations. A single elevated indicator is less significant than two or more deteriorating in tandem. Temporary spikes resolve quickly; structural regime shifts do not.

Structural Stress vs System Absorption Capacity

Structural Fragility — conditions that accumulate slowly and reduce the system's margin of safety: elevated debt loads, persistent inflation, labor market deterioration, demographic stagnation, and tightening credit standards. These develop over years and are often masked by asset appreciation or credit availability.

Absorption Capacity — the system's active ability to withstand shocks without requiring progressively larger interventions: functioning credit markets, liquidity provision, policy flexibility, anchored inflation expectations, and stable funding markets. When this deteriorates, structural imbalances become acute crises rather than manageable headwinds.

Modern markets can tolerate elevated structural imbalances for extended periods if refinancing channels remain functional and policy credibility remains intact. Acute crises emerge when structural fragility converges with deterioration in liquidity, credit, or stabilization capacity — not from structural imbalances alone.

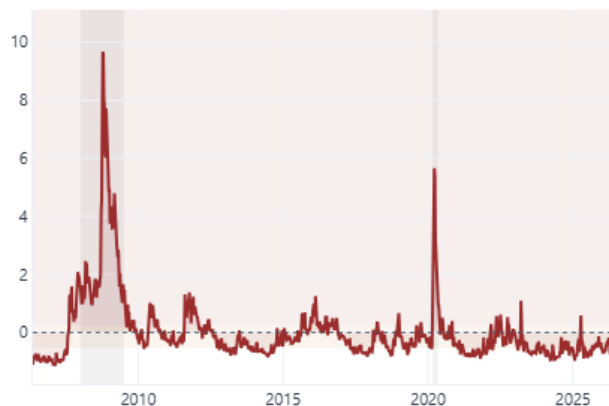
LIQUIDITY & FUNDING STRESS

This section monitors the financial plumbing that supports market functioning: short-term funding markets, interbank credit conditions, and the availability of safe-haven liquidity. Stress here typically appears before it surfaces in equity prices, unemployment, or GDP data — making these indicators leading signals of systemic deterioration.

Financial Stress Indices

The St. Louis Fed FSI and Chicago Fed NFCI both aggregate dozens of financial market variables into a single stress reading. Both are indexed around 0 (average conditions). Positive readings indicate tighter-than-normal conditions; readings above 1.0-1.5 have historically coincided with significant market dislocations.

St. Louis Fed Financial Stress Index (current: 10th percentile)



Chicago Fed National Financial Conditions Index (current: 36th percentile)

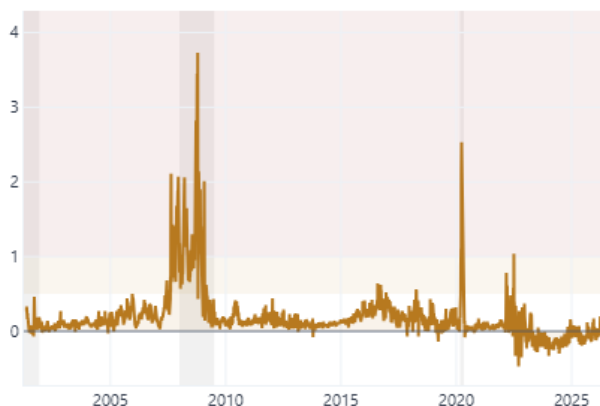


Shaded vertical bands mark NBER-defined recession periods. Colored horizontal bands show the 25th/75th historical percentile ranges — providing context for whether current readings are historically extreme.

Interbank & Repo Funding Markets

The 3-Month CP-Treasury spread — AA Financial Commercial Paper rate minus the 3-Month Treasury — is the modern successor to the discontinued TED spread. It measures the unsecured short-term credit premium banks pay above the risk-free rate. Readings above 100bps have historically signaled elevated interbank credit stress. SOFR tracks overnight secured repo conditions; divergence from Fed Funds signals repo market pressure.

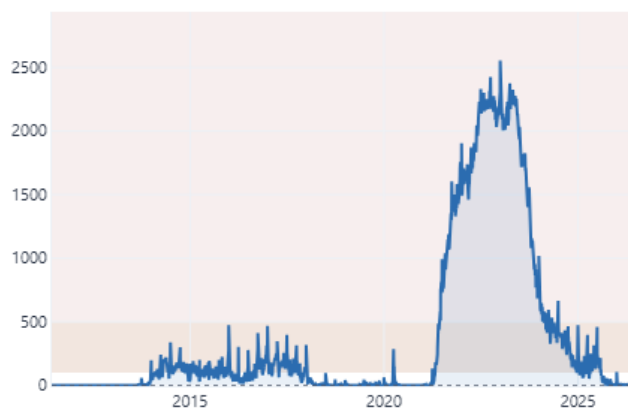
3-Month CP minus Treasury Spread % (Modern TED Equivalent)



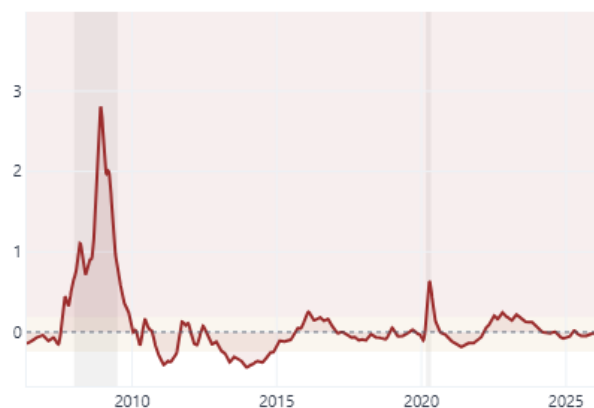
Secured Overnight Financing Rate (SOFR) %



Fed Overnight Reverse Repo Facility (\$B)



NFCI Credit Subindex (Chicago Fed) (current: 54th percentile)



Reverse repo usage peaked near \$2.5 trillion in 2023 as excess reserves flooded the system. Rapid drawdown toward zero — if accompanied by rising funding rates — would signal reserves leaving the system faster than the Fed can replace them. The NFCI credit subindex isolates the credit channel from broader financial conditions, providing an early warning of tightening access to credit specifically.

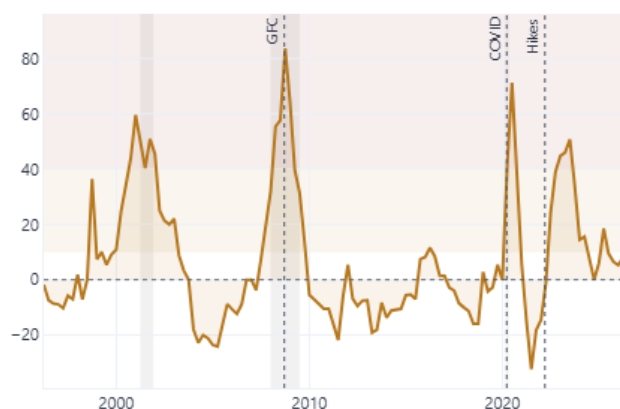
CREDIT MARKET FUNCTIONALITY

Most systemic crises emerge when refinancing capacity deteriorates and credit spreads widen persistently, impairing liquidity and rollover financing. Credit market functionality is a more reliable leading indicator of economic stress than equity market volatility — spreads reflect actual lending conditions, not just sentiment.

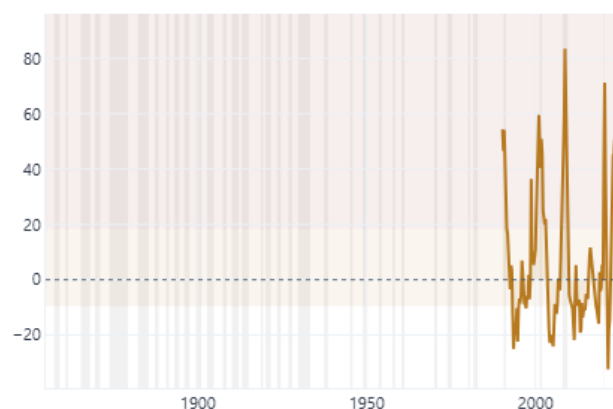
Bank Lending Standards (SLOOS)

The Senior Loan Officer Opinion Survey asks banks whether they tightened or loosened credit standards on C&I; (commercial and industrial) loans in the prior quarter. Net tightening above 40% has historically preceded credit contractions by 6-12 months — making it one of the most reliable leading indicators of future loan growth collapse. It captures supply-side credit rationing before it shows up in delinquencies.

Net % Banks Tightening C&I Loan Standards %



Lending Standards — Historical Percentile (current: 65th percentile)

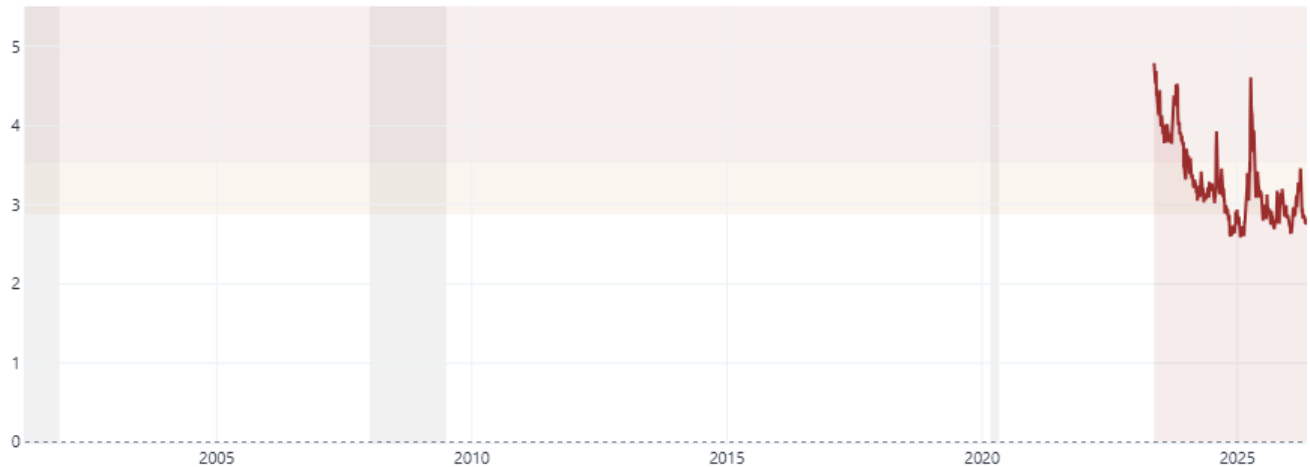


Negative readings (net loosening) indicate accommodative lending conditions. The 2008 GFC and COVID episodes saw rapid swings from loosening to extreme tightening. The current trajectory matters as much as the level — rapidly tightening standards signal banks see rising credit risk ahead of the official data.

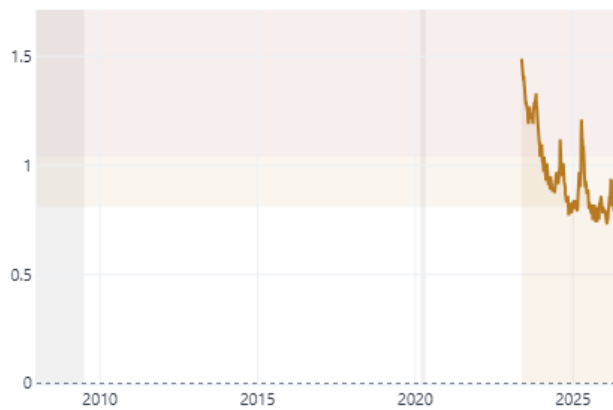
High Yield & Investment Grade Spreads

Credit spreads represent the additional yield investors demand over Treasuries to hold corporate bonds. High yield (HY) spreads are more sensitive to default risk and liquidity; investment grade (IG) spreads reflect credit conditions for larger, more creditworthy issuers. When both widen simultaneously, credit tightening is broad-based.

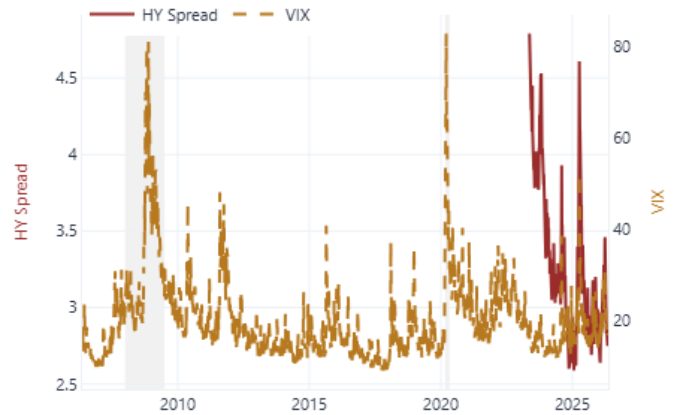
High Yield OAS (ICE BofA) % — Recession-Period Context (current: 10th percentile)



Investment Grade OAS (ICE BofA) % (current: 4th percentile)



HY Spread % (left) vs VIX (right)

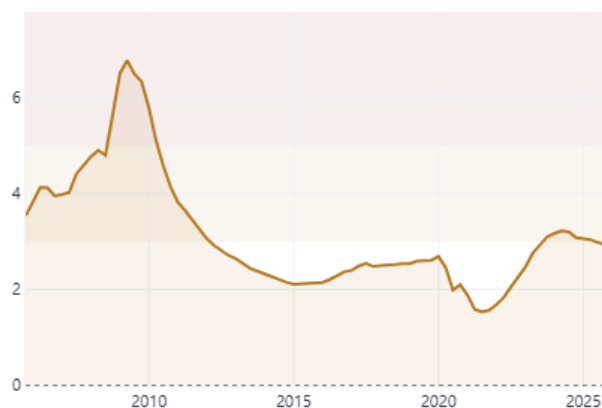


HY spreads and VIX are often correlated in stress episodes but diverge in regime transitions. Persistent spread widening without a corresponding VIX spike suggests structural credit deterioration rather than temporary sentiment-driven volatility — the more concerning scenario for refinancing capacity.

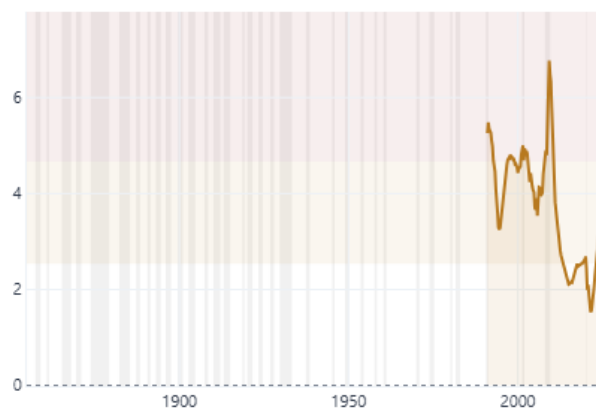
CRE Lending Standards & Consumer Delinquencies

CRE lending standards (SLOOS) capture forward-looking bank risk appetite for commercial real estate — a leading indicator that tightens before delinquencies rise. Credit card delinquencies provide a near-real-time read on consumer balance sheet stress; both are reported quarterly with approximately 6 weeks of lag.

Credit Card Loan Delinquency Rate % (20 Years)

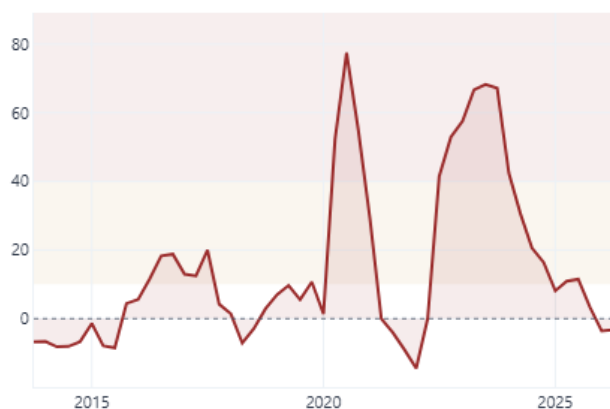


CC Delinquency — Historical Percentile Context (current: 32th percentile)

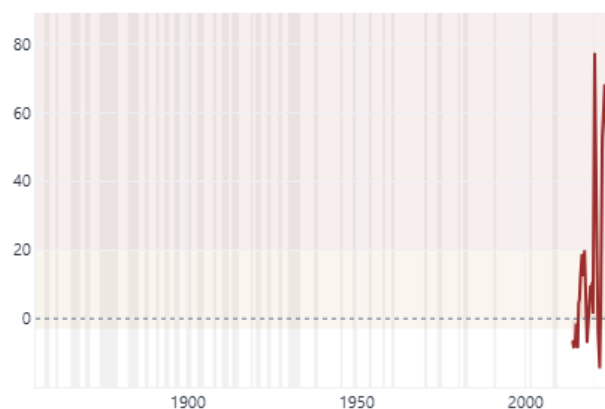


Credit card delinquency is a broad consumer credit health signal. Post-pandemic normalization has pushed this rate above pre-2020 levels — a sign that the lowest-income households are increasingly stretched, even before any broader labor market deterioration.

CRE Lending Standards — Net % Tightening (25 Years)



CRE Lending Standards — Historical Percentile Context (current: 24th percentile)



The SLOOS CRE lending standards series captures bankers' forward-looking assessment of commercial real estate credit risk — a leading indicator that typically tightens 6-12 months before delinquency rates rise. Net tightening above 40% has preceded CRE credit contractions in every major stress episode since the 1990 S&L crisis.

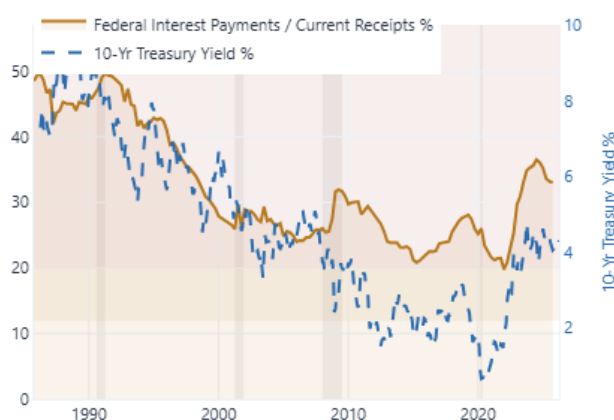
POLICY CONSTRAINTS & FLEXIBILITY

The critical issue is not absolute debt levels, but whether policymakers retain the flexibility to stabilize markets without destabilizing inflation, funding markets, or sovereign confidence. This section tracks the three primary constraints on policy maneuverability: fiscal space (debt service burden), monetary space (inflation expectations), and balance sheet capacity (Fed asset size).

Fiscal Maneuverability: Debt Service Burden

Federal interest payments as a share of current receipts measures how much of government revenue is consumed by debt service. Unlike debt/GDP (which depends on GDP growth assumptions), this ratio directly reflects the cash flow constraint on fiscal policy. Historically below 15%; the post-2022 rate normalization has driven this ratio materially higher as low-rate debt rolls over at current market rates.

Federal Interest Payments / Current Receipts %



Fed Balance Sheet as % of Nominal GDP



Left: interest/receipts ratio (amber) with 10-year Treasury yield overlaid (dashed blue, right axis). The yield overlay shows how the post-2022 rate normalization directly drove the step-change in debt service cost as low-rate debt rolled over at current market rates. Green band: below 12%; yellow: 12-20%; red: above 20%. Right: Fed balance sheet as % of GDP — scale of prior QE and trajectory of QT.

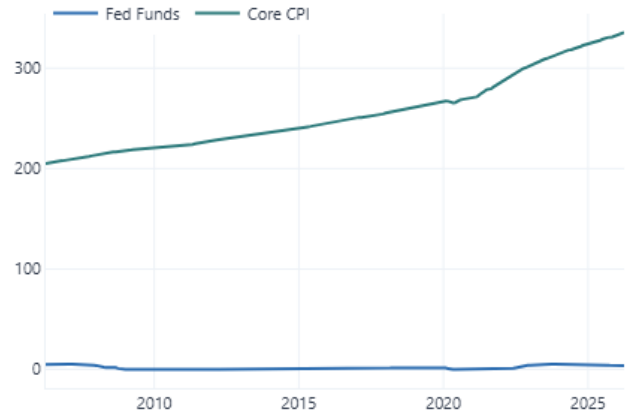
Monetary Constraints: Real Policy Rate & Inflation Expectations

The real Federal Funds Rate (nominal rate minus core CPI YoY) determines whether monetary policy is stimulative or restrictive in inflation-adjusted terms. Deeply negative real rates incentivize borrowing and asset speculation; very high positive real rates risk demand destruction and debt deflation. Inflation expectations are the forward-looking constraint: if markets expect inflation to remain elevated, the Fed cannot reduce rates without undermining its credibility.

Real Federal Funds Rate (FEDFUNDS – Core CPI YoY) %



Federal Funds Rate vs Core CPI YoY % (20 Years)



5-Year Breakeven Inflation Expectations %



10-Year Breakeven Inflation Expectations %



Breakeven rates derived from TIPS. The 2% Fed target implies a sustainable range of approximately 2-2.5% for long-run breakevens. Persistent readings above 3% would indicate inflation expectations becoming unanchored — at which point the Fed would be unable to cut rates in response to economic weakness without risking a credibility crisis. This is the binding constraint on monetary policy flexibility.

INFLATION

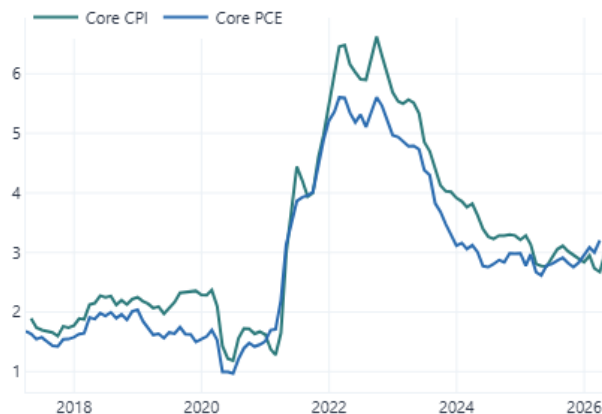
Headline CPI — Year-over-Year %



Core CPI (ex Food & Energy) — Year-over-Year %



Core CPI vs. Core PCE — YoY % (10 Years)



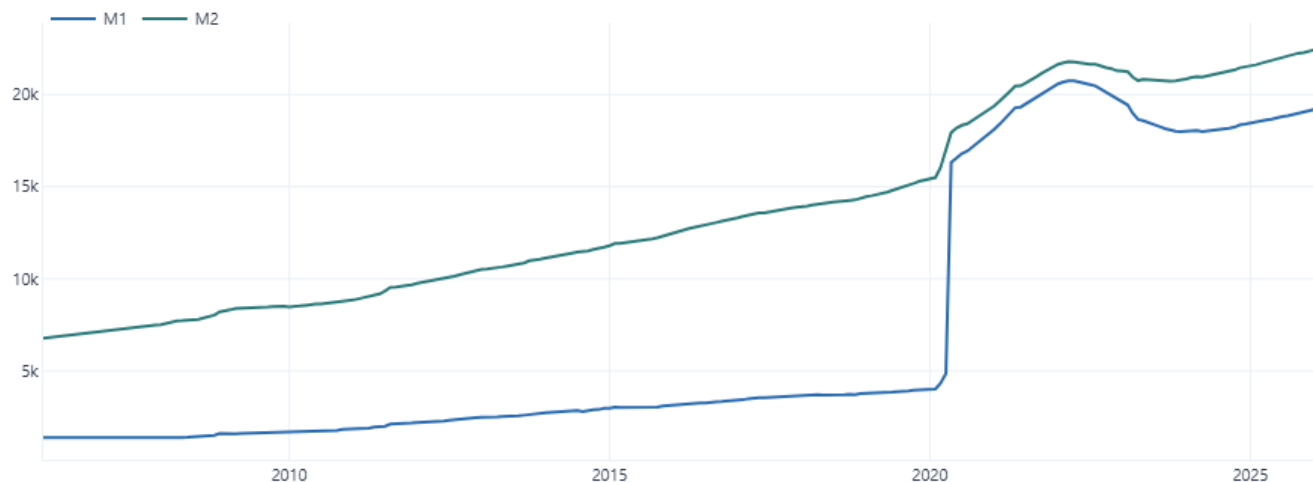
Core PCE — Year-over-Year %



Core PCE (Personal Consumption Expenditures ex food & energy) is the FOMC's explicit 2% inflation target, published monthly by the BEA with a ~4 week lag. It typically runs 0.3–0.5% below Core CPI due to different category weights and substitution effects. When both measures are simultaneously elevated, the inflation signal is more credible and policy response more likely.

Money Supply

M1 & M2 Money Supply — Level (Billions \$)



M1 is the narrowest measure of money: currency and demand deposits. M2 adds savings accounts, retail money market funds, and small CDs. Rapid M2 growth often precedes inflation with a 12–18 month lag. Real M2 contraction — M2 growing slower than inflation — typically signals tightening monetary conditions.

M2 Growth — Year-over-Year %

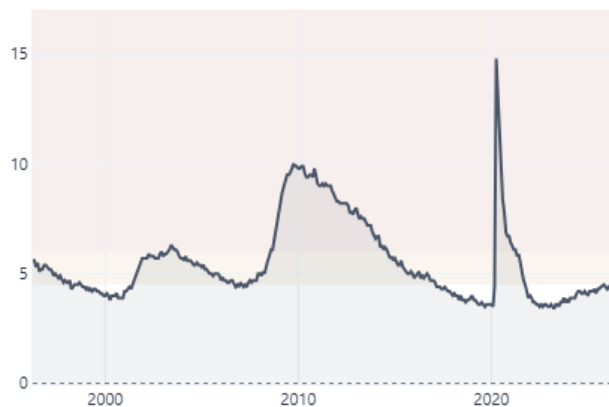


Real M2 Growth — Year-over-Year %

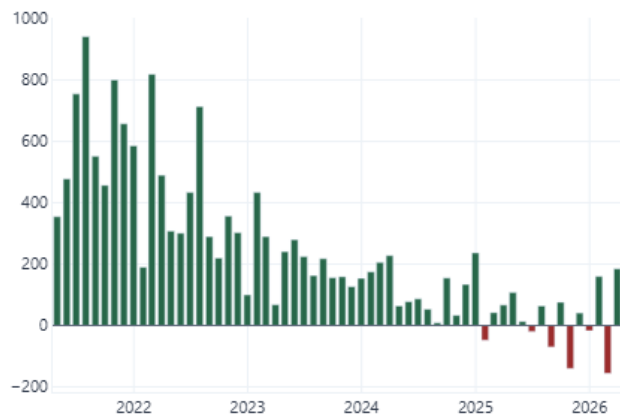


LABOR MARKET

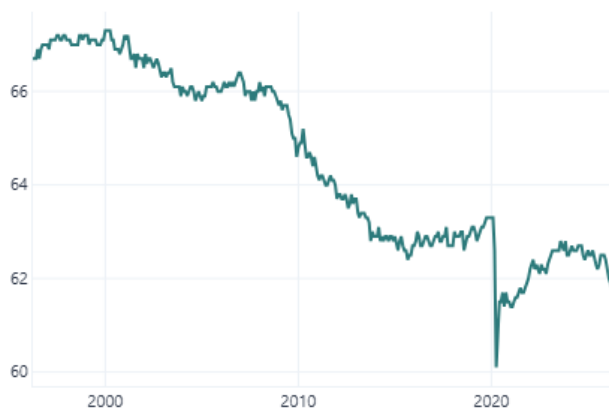
Unemployment Rate %



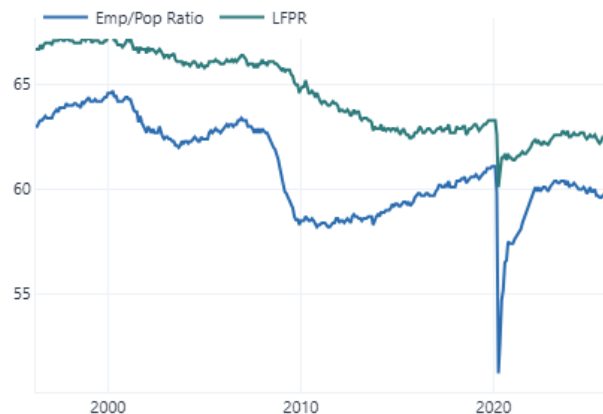
Nonfarm Payrolls — Monthly Change (Thousands)



Labor Force Participation Rate %



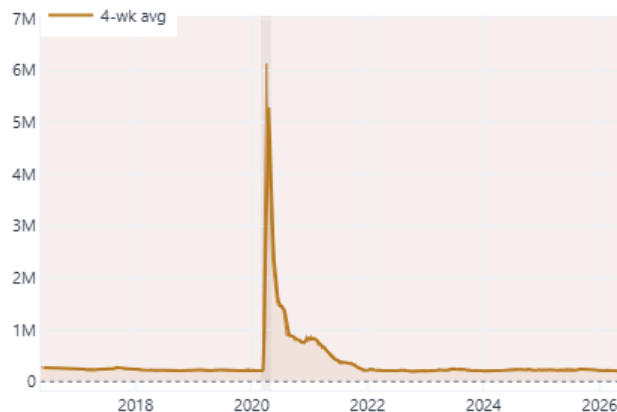
Employment-Population Ratio vs. Participation Rate %



Initial Claims, Savings Rate & Leading Indicators

Initial jobless claims (4-week moving average) provide the most timely read on labor market health — released weekly with a 4-day lag. The personal saving rate tracks household buffer capacity: sustained lows signal stretched balance sheets.

Initial Jobless Claims — 4-Week MA (Weekly)



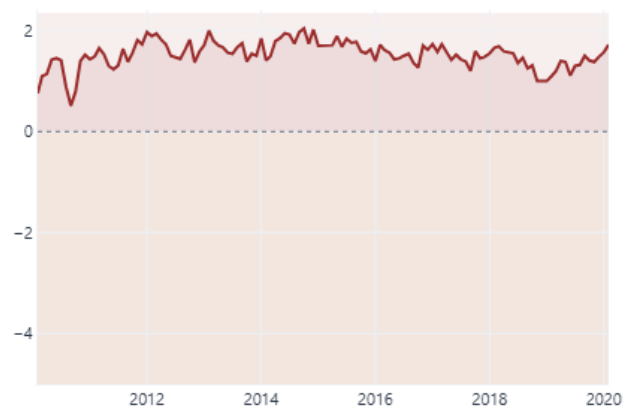
Personal Saving Rate %



Industrial Production — Year-over-Year %



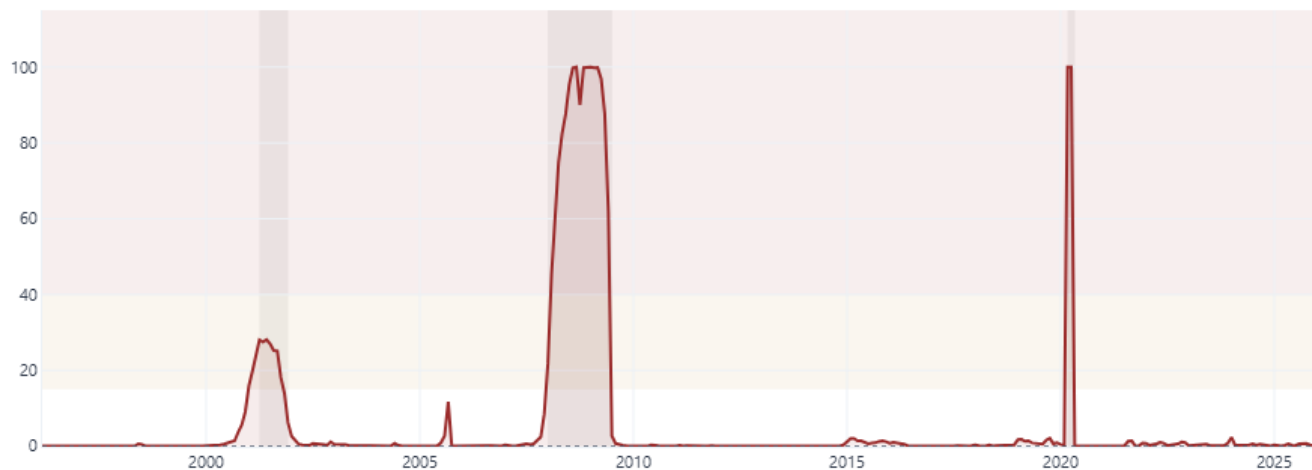
Conference Board Leading Economic Index (MoM %)



Industrial production YoY contraction has coincided with every U.S. recession since 1960. The Conference Board LEI aggregates 10 forward-looking components; three consecutive monthly declines have preceded every NBER recession with a 6-12 month lead.

MARKETS & RATES

NY Fed 12-Month Recession Probability %



The NY Fed recession probability is derived from the yield curve (3-month vs 10-year spread). Readings above 30-40% have historically signaled recession within 12 months.

Yield Curve: 10-Year minus 2-Year Treasury Spread %



The yield curve spread (10Y minus 2Y) is arguably the most reliable leading recession indicator: inversion has preceded every US recession since 1970, typically by 12-18 months. Red zones mark periods of inversion (spread < 0). Note that uninverting after a prolonged inversion can coincide with — rather than precede — economic contraction.

10-Year Treasury Yield — Daily vs. Monthly Average %



Broad Dollar Index — YoY % Change



A sharply rising dollar (>8% YoY) acts as a global tightening mechanism: it raises debt service costs for dollar-denominated EM borrowers, pressures commodity prices, and reduces earnings for US multinationals. Dollar strength in a late-cycle environment amplifies the restrictive effect of Fed policy beyond US borders.

S&P 500 CAPE (Shiller P/E) — Full History

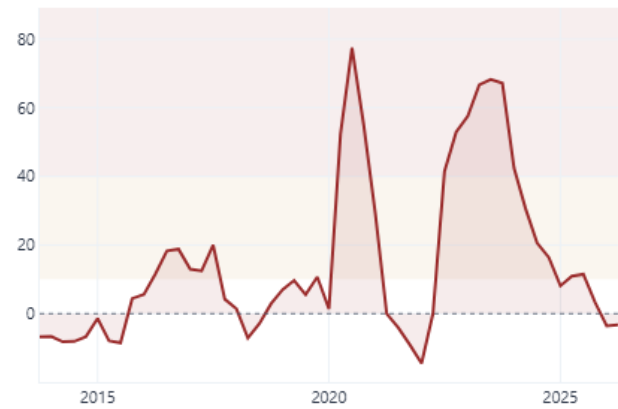


The Cyclically Adjusted P/E ratio smooths earnings over a rolling 10-year real average, removing business cycle distortions. The historical mean is approximately 17. Readings above 30 — sustained through 1929, 2000, and 2021 — have historically preceded decade-long below-average real returns. CAPE does not predict timing.

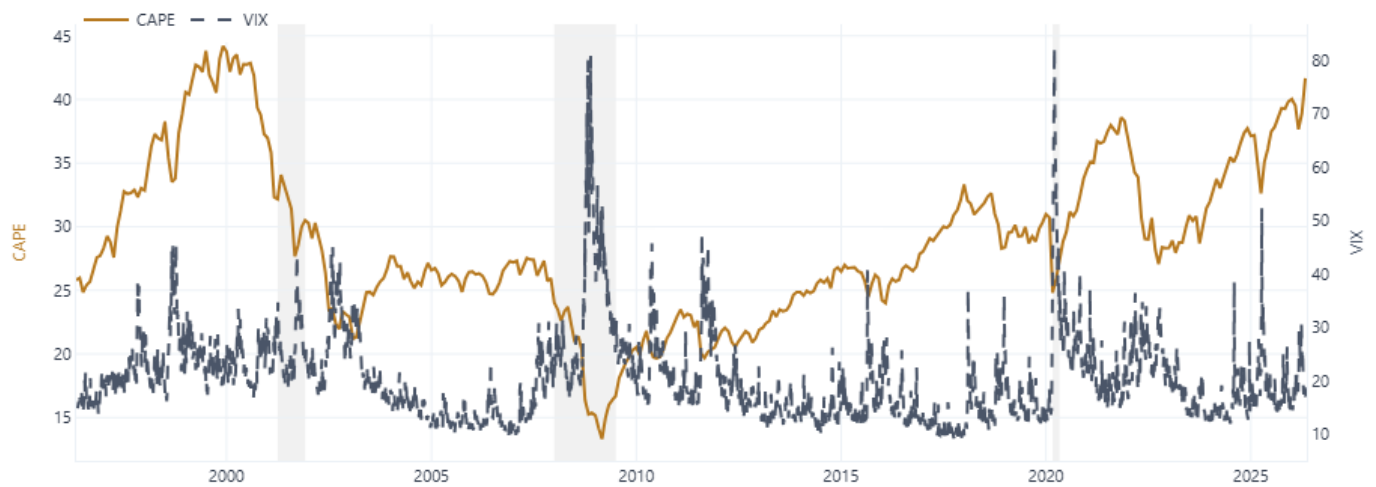
S&P 500 Trailing P/E (40 Years)



CRE Lending Standards — Net % Tightening



S&P 500 CAPE (Shiller P/E, left) vs VIX Volatility Index (right)



CAPE measures structural valuation risk (where valuations are relative to long-run earnings); VIX measures near-term sentiment and implied volatility. Historically, high-CAPE regimes combined with VIX spikes mark the sharpest drawdown episodes — 2001, 2008, and 2022. CAPE above 30 with a VIX spike above 30 has preceded significant multi-year return headwinds.

10-Year Treasury Yield — Long History %



10-Year Treasury Yield — 10 Years



The secular decline in long-term yields from ~16% in 1981 to near 0% in 2020 supported rising asset valuations and reduced debt service costs. The reversal since 2022 has structural implications for real estate valuations, corporate refinancing, and government debt service.

HOUSING MARKET

Housing is the most interest-rate-sensitive sector in the economy and a critical transmission mechanism for monetary policy. Mortgage rates directly control affordability; starts lead construction employment by 3-6 months; and home prices affect household net worth, consumer confidence, and collateral values for lending.

Mortgage Rates & Housing Starts

30-Year Fixed Mortgage Rate %



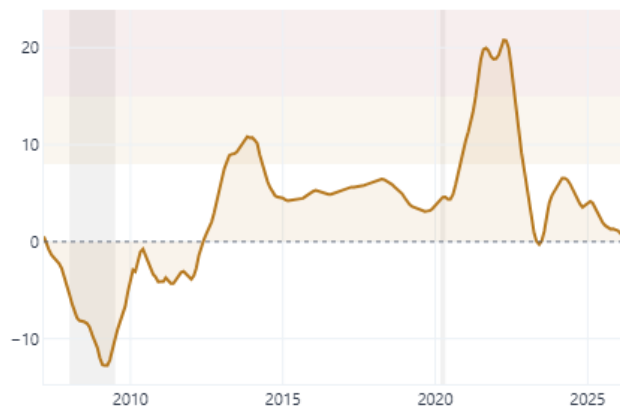
Housing Starts — Total (Thousands, SAAR)



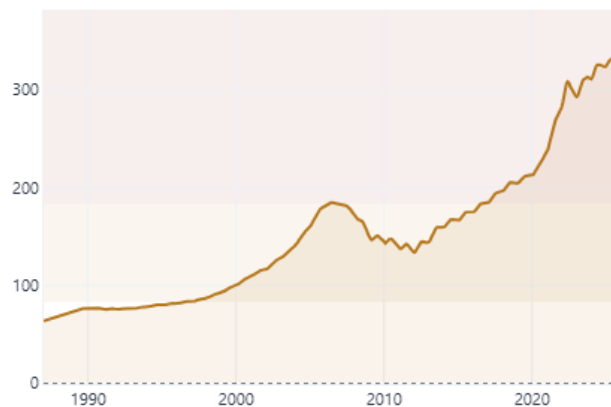
The 30-year mortgage rate rose from sub-3% in 2021 to over 7% in 2023 — the fastest rate increase in the modern mortgage market era. Housing starts respond with a lag of 3-6 months to rate changes, as pipeline projects run off. The secular housing undersupply (estimated 3-5M units nationally) provides a structural floor that limits the depth of a housing correction compared to 2008.

Home Price Appreciation

Case-Shiller Home Price Index — YoY %



Case-Shiller HPI — Historical YoY Percentile (current: 98th percentile)



Home price appreciation above 8% YoY outpaces wage growth and compresses affordability faster than income can adjust. The 2020-2022 surge — driven by pandemic-era demand shifts and 3% mortgages — has proved partially sticky even as rate headwinds increased. Elevated home prices combined with high mortgage rates create an 'affordability lock': would-be sellers are reluctant to trade their 3% mortgage for 7%, suppressing transaction volume.

Mortgage Rate % vs. Housing Starts (Thousands) — 20 Years



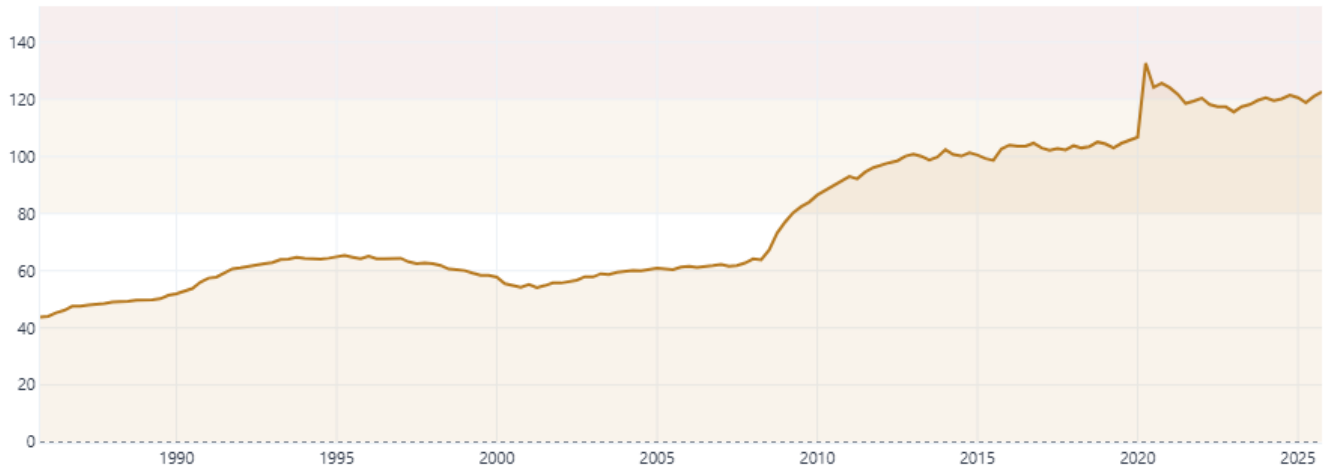
30-Year Mortgage Rate — 40-Year History %



The 40-year history chart provides crucial context: the 1980s featured mortgage rates above 15%. The post-2008 secular decline to sub-3% was a structural tailwind for home prices and homeowner net worth. The reversal since 2022 is large in absolute terms but still well below historical peaks.

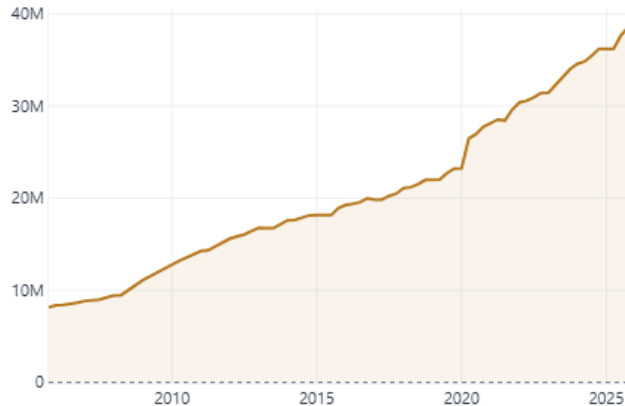
FISCAL

Federal Debt as % of GDP

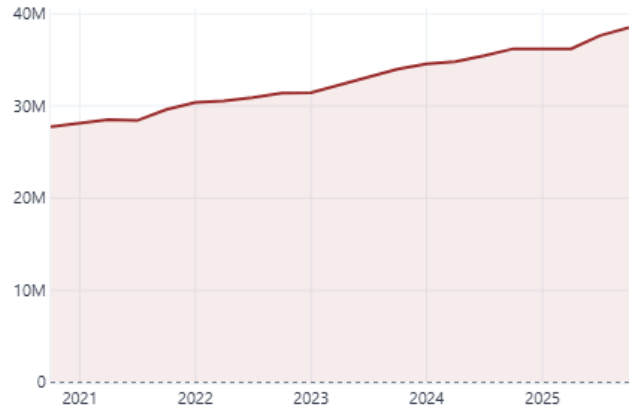


Federal debt as a share of GDP rose sharply during World War II (peaking ~106%), declined through the postwar expansion, then began climbing again from the 1980s. The 2008 financial crisis and the 2020 pandemic triggered the largest peacetime increases on record. At elevated debt/GDP ratios, interest rate increases have a compounding effect: as debt rolls over at higher rates, the share of the budget consumed by interest payments expands, crowding out discretionary fiscal space.

Federal Debt Outstanding (\$B, Monthly)

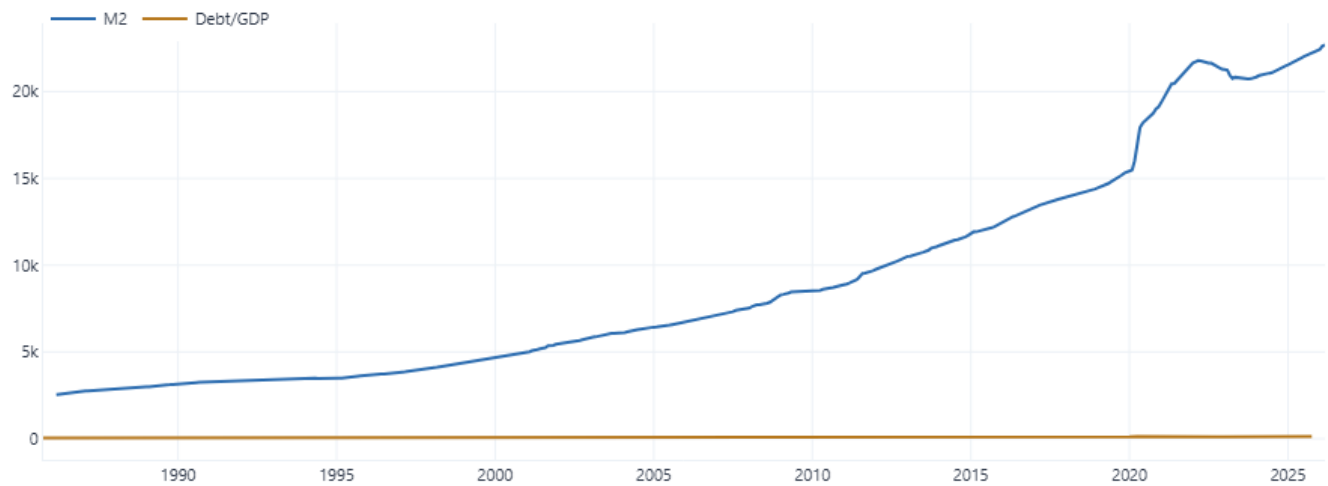


Federal Debt Outstanding (\$B) — Last 5 Years



Monthly total public debt outstanding provides a more timely read than the quarterly Debt/GDP ratio, which lags by a full quarter. The 5-year view highlights the pace of recent accumulation relative to the long-run trend.

M2 Money Supply (B\$) & Federal Debt/GDP — Long-Run Trends



Note: M2 is shown in billions of dollars; Debt/GDP is a percentage. The two series share a chart to illustrate the co-movement of monetary and fiscal expansion over the past four decades.

INDICATOR GLOSSARY

Plain-English definitions for all acronyms and metrics used in this report. Click any indicator name in the Summary section above to jump to detailed charts.

CPI	Consumer Price Index — average price change for a fixed basket of urban household goods	NFCI Credit	NFCI subindex isolating credit conditions specifically
Core CPI	CPI excluding food & energy; strips volatile components to show underlying trend	HY Spread (OAS)	Extra yield demanded above Treasuries for below-investment-grade bonds
Core PCE	PCE Price Index ex food & energy — the FOMC's explicit 2% inflation target; published by BEA monthly	IG Spread (OAS)	Extra yield demanded above Treasuries for investment-grade corporate bonds
CPI vs PCE	PCE typically runs 0.3–0.5% below CPI due to different weights and substitution methodology	OAS	Option-Adjusted Spread — yield spread net of embedded call/put option value
M1	Narrow money — physical currency plus checking-account deposits	Fed Funds Rate	Fed's overnight policy rate set by the FOMC; the primary monetary tool
M2	Broad money — M1 plus savings accounts, money-market funds, and small CDs	WALCL	Fed balance sheet total assets; expanded via QE, shrunk via QT
Real M2	M2 adjusted for inflation; sustained contraction signals tightening conditions	T5YIE / T10YIE	5- and 10-year breakeven inflation rates from TIPS pricing
Unemployment Rate	Share of the labor force actively seeking but unable to find work	TIPS	Treasury bonds whose principal adjusts with CPI; used to extract inflation expectations
LFPR	Labor Force Participation Rate — working-age adults in the labor force (%)	QE / QT	Quantitative Easing (buying assets) / Tightening (shrinking balance sheet)
Emp/Pop Ratio	Share of all working-age adults employed; unaffected by participation shifts	BEI / Breakeven	Market-implied inflation expectations from the gap between TIPS and nominal yields
Nonfarm Payrolls	Net monthly job additions across all non-agricultural sectors	SAAR	Seasonally Adjusted Annual Rate — removes seasonal patterns, expressed at annual pace
VIX	CBOE Volatility Index — market's 30-day implied volatility; the 'fear gauge'	Debt / GDP	Federal debt as a percentage of gross domestic product
CAPE / Shiller P/E	S&P; 500 price divided by 10-year inflation-adjusted average earnings	Interest / Receipts	Federal interest payments as a share of total government revenues
Trailing P/E	Stock price divided by last 12 months of reported earnings	Real FF Rate	Fed Funds Rate minus Core CPI YoY — the inflation-adjusted policy stance
10Y Treasury Yield	Benchmark long-term government rate; affects all asset prices	Yield Curve (10Y-2Y)	Spread between 10-year and 2-year Treasury yields; inversion has preceded every US recession since 1970
CRE	Commercial Real Estate — offices, retail, apartments, and industrial property	Inverted Curve	When short rates exceed long rates (spread < 0) — markets pricing near-term risk higher than long-run growth
CRE Lending Stds	Net % banks tightening CRE loan standards (SLOOS); > 40% signals credit contraction ahead	NY Fed Rec. Prob.	Model-based 12-month recession probability using yield curve slope; above 30% has historically been a reliable signal
CC Delinquency	Share of credit card loans past due — broad consumer credit health signal	SLOOS	Senior Loan Officer Opinion Survey — quarterly Fed survey on bank lending standards and demand
FSI	Financial Stress Index — 0 = normal; positive = above-average systemic stress	Lending Standards	Net % of banks tightening loan conditions; tightening > 40% historically signals credit contraction ahead
NFCI	National Financial Conditions Index — Chicago Fed weekly gauge across 105 variables	Housing Starts	New residential units started monthly (SAAR); a leading indicator for construction employment and materials
TED Spread	3-mo LIBOR minus 3-mo T-bill rate — interbank credit risk (discontinued 2023)	Case-Shiller HPI	S&P;/Case-Shiller repeat-sales home price index; published with ~2-month lag
SOFR	Secured Overnight Financing Rate — overnight repo benchmark; LIBOR replacement	Mortgage Rate (30Y)	Freddie Mac Primary Mortgage Market Survey; directly affects housing affordability and purchase volume
Reverse Repo (RRP)	Fed facility where banks park excess cash; high usage = ample reserves	Dollar Index (DTWEX)	Trade-weighted U.S. dollar index vs. 26 currencies; rapid appreciation tightens global financial conditions